

De Angelis dealt in soybean oil, which he stored in tanks in his New Jersey warehouse. While American Express's main business was its Traveler's Cheques, and credit cards, it also had a smaller business issuing warehouse receipts, a document that provided proof of ownership of commodities stored for safekeeping in a warehouse. American Express issued De Angelis with warehouse receipts verifying the amount of soybean oil in his tanks, which De Angelis turned around and sold, or used as collateral for loans. At some stage he figured out that he could trick the inspectors into believing he owned more soybean oil than he actually did, and so began to substitute seawater for soybean oil. De Angelis got so good at fooling the inspectors that he eventually controlled more soybean oil than there was in existence.¹⁴ The ruse was discovered when the market moved violently against him, and he was unable to meet margin calls from his broker. De Angelis was immediately wiped out. The position was so big that it also sent his broker into bankruptcy. Facing a fraudulent De Angelis and his bankrupt broker, De Angelis's lenders naturally went looking for some deep pockets to sue. They found American Express, the company that had actually issued the warehouse receipts certifying the soybean oil existed. The sum sought was \$175 million—more than 10 times American Express's earnings in 1964—and it wasn't clear that American Express could survive an award of that magnitude. The stock price was cut in half.

His interest piqued, Buffett had his broker, Henry Brandt, find the *scuttlebutt*—rumors or gossip—on American Express. Philip Fisher, a renowned San Francisco-based growth investor, had first used the term in his 1958 book *Common Stocks and Uncommon Profits*.¹⁵ Fisher advocated the use of the *scuttlebutt method* to identify qualitative factors that might give an investor original insight into a potential investment. Gleaned from competitors, customers, or suppliers, these qualitative considerations might include the skill of management; the utility of the research and development or technology; the business's service ability or customer orientation; or the effectiveness of marketing. Fisher used the totality of the information garnered through the scuttlebutt method to determine the business's ability to grow and defend its market against competitors through technological superiority, service excellence, or a consumer franchise.¹⁶ Buffett was concerned that De Angelis's fraud and American Express's potential liabilities might stop other businesses from accepting Traveler's Cheques and American Express cards, which would destroy the franchise. He asked Brandt to find out if restaurants and other businesses that usually took American Express were still accepting them.

This was an unusual question from Buffett, who was usually more interested in quantitative questions about the assets or liabilities of a company, but Brandt undertook to fulfill it with his usual vigor. He staked out